

CHAPTER I

COMPANY : MEANING, NATURE, THEORIES AND KINDS

Meaning

The word 'company' is derived from the Latin words 'com' and 'panis'. 'Com' means 'with or together' and 'panis' means 'bread'. It initially referred to an association of persons who took their meals together. In the past, the merchants with the intention of taking advantage of the festive gatherings discussed their business matters. With the passage of time and evolution of man and his needs, business has become an important aspect of life and has acquired more complicated and complex form and hence cannot be discussed at length in festive gatherings. The rapid growth of trade, commerce and industry in modern times has brought about a number of changes in the size of a firm. With the expansion in the scale of operation of business undertakings, enterprises organized on the basis of sole proprietorship, or partnership, found themselves unequal to the task of meeting all the capital requirements of the present day large-scale business. Thus, a new form of business organization came into existence and this is called a 'Joint Stock Company' or simply a 'Company' or 'Corporation'. A company is a corporate body and a legal entity having status and personality distinct and separate from that of the members constituting it.

Section 2(20) of the Companies Act, 2013 defines "company" as "a company incorporated under this Act or under any previous company law." This definition does not reveal the distinctive characteristics of a company. Chief Justice Marshall of USA defines company as "a person, artificial, invisible, intangible, and existing only in the contemplation of the law. Being a mere creature of law, it possesses only those properties which the character of its creation confers upon it either expressly or as incidental to its very existence".¹

Lord Justice Lindley gives a comprehensive definition of company. According to him, "a company means an association of many persons who contribute money or money's worth to a common stock and employ it in

1. *Dartmouth College v. Woodward*, 4 Wheat, [US] 518

some trade or business, and who share the profit and loss (as the case may be) arising therefrom. The common stock contributed is denoted in money and is the capital of the company. The persons who contribute it, or to whom it belongs, are members. The proportion of capital to which each member is entitled is his share. Shares are always transferable although the right to transfer them is often more or less restricted." According to Prof. L.H. Hancy, "Joint Stock Company is a voluntary association of individuals for profit, having a capital divided into transferable shares, the ownership of which is the condition of membership."

From the above definitions, it can be concluded that a company is a registered association or body corporate which is an artificial legal person, having an independent legal entity, with a perpetual succession, a common seal for its signatures, a common capital comprised of transferable shares and carrying limited liability.

It is called body corporate because the persons composing it are made into one body by incorporating it according to the law and clothing it with legal personality. A corporation or a body corporate is a legal entity that meets certain legal requirements to be recognized as having a legal existence, as an entity separate and distinct from its owners. Corporations are owned by their stakeholders (shareholders) who share in profits and losses generated through its operations. A legal entity (such as an association, company, person, government, government agency, or institution) identified by a particular name. The expression "corporation" or "body corporate" is wider than the word 'company'. A company is one of the forms of a corporation or body corporate.

"Body corporate" or "corporation" includes a company incorporated outside India, but does not include—

- (i) a co-operative society registered under any law relating to co-operative societies; and
- (ii) any other body corporate (not being a company as defined in this Act), which the Central Government may, by notification, specify in this behalf.¹

The definition of body corporate under the new Act does not as such define the term, as was the case in the earlier Act, but it only provides a list of associations that are excluded from its purview. Not only the statutory definition of body corporate excludes co-operatives societies from the scope of the term 'corporate' but a society registered under the Societies

1. Section 2(11), Companies Act, 2013

Registration Act has also been held by the Supreme Court not to come within the term 'body corporate' under the Companies Act, though it is a legal person capable of holding property and becoming member of a company.¹

Under the Companies Act of 1956, the definition of body corporate excluded from its scope 'a corporation sole' but the Act of 2013 has removed this exception and come up with a new concept i.e. one person company (OPC). But there is a difference between the two. The concept of OPC allows a single person to run a company limited by shares, and sole proprietorship means an entity where it is run and owned by one individual and where there is no distinction between the owner and the business, whereas it is not so in case of OPC.

THEORIES OF CORPORATE PERSONALITY

1. Fiction theory

Pope Innocent IV (1243-1254) promulgated the fiction theory of corporation. Famous jurists like Savigny and Salmond supported this theory. The theory is based on the principle that the legal personality of entities other than human beings is the result of a fiction. Hence, not being a human being, corporation cannot be a real person and cannot have any personality on its own. Originally, the outward form that corporate bodies are fictitious personality was directed at ecclesiastic bodies. Pope Innocent IV stated that corporate bodies could not be excommunicated or be guilty as they have neither a body nor a will because they existed only in abstract. The Supreme Court regarded this enunciation as foundation of separate entity principle.² The famous case of *Salomon v. A Salomon Co. Ltd.*,³ is a proof of the English court adoption of the fiction theory. In this case, Lord Halsbury stated that the important question to decide was whether in truth an artificial creation of the legislature had been validly constituted. It was held that as the company had fulfilled requirements of the Companies Act, the company becomes a person at law, independent and distinct from its members. Salmond, made it clear that a human being is the only natural person while legal persons govern any subject matter other than a human being to which the law attributes personality. States, corporations and institutions cannot have rights of a person but they are treated as if they are persons. Under this theory, rights and duties attached to corporation as artificial person totally depend

1. *Board of Trustees v. State of Delhi*, AIR 1962 SC 458: (1962) Supp 1 SCR 156

2. *Vodafone International Holdings BV v. Union of India*, (2012) 6 SCC 613: (2012) 3 SCC (civ)

3. 1897 AC 22

on how much the law imputes to it by fiction.

The personality that the corporation enjoys is not inherent in it but as conceded by the state. Due to the close connection made in this theory as regards the relation of legal personality and the power of the state, fiction theory was claimed to be similar to the theory of sovereignty of state which is also known as the concession theory.

2. Realist theory

The German jurist, Johannes Althusius, was the founder of this theory while its most prominent advocate was Otto von Gierke, who challenged the entire basis of Roman jurisprudence and is also responsible for the scholarly wisdom of his writings. The theory says that a legal person is a real personality in an extra juridical and pre-juridical sense of the word. It also assumes that every being which possesses a will and life of its own are the subjects of rights and not only human beings. Therefore, being a juristic person and as 'alive' as the human being, a corporation is also subjected to rights. The theory supports the proposition that the reason for existence of a corporation is because it exists as an objectively real entity and the law merely recognizes and gives effect to its existence. The jurists of this theory also contended that the law does not have the power to create an entity but it has the power or right to recognize or not to recognize an entity.

The realists perceive a corporation as a social organism, whereas human beings as physical organisms. The realists hold the view that actions of a corporation are deemed to be carried out on its own; similar to those of the normal person and not by its agents or representatives like in case of those who are incapable, such as infants and insane. While the human being uses his bodily organ to do an act, the corporation uses men for that purpose. Some of the realist theory followers even claimed that similar to the human being, juristic person also has organs.

This theory is mostly supported by lawyers and not by sociologists. While discussing the realism of the corporate personality, most of the realist jurists claimed that the fiction theory failed to identify the relation of law with the society in general. The main defect of the fiction theory according to the realist jurist is the ignorance of sociological facts that evolved around law making process. Hence, by ignoring the 'real capacity and functions' of corporation in the real world, the fiction jurists had failed to see the 'live' possessed by a corporation. The realist contended that by rejecting the fiction theory, one would succeed to reject an abstract conception and untrue account of the reality with which the practical lawyer has to deal.

According to the realist jurist, lawyers have to acquire the habit to

depart from the plain meaning of law and go behind the scenes of the legal platform for the realization and justice which law is supposed to introduce to life.

3. Symbolistic theory

This theory is also known as the "bracket" theory. It was propounded by Ihering and later developed by Marquis de Vareilles-Sommières. This theory to an extent resembles the fiction theory as it recognizes that only human beings have interests and rights of a legal person. According to Ihering, the conception of corporation is mainly for the purpose of utilizing it as an economic device which would help in simplifying the task of coordinating legal relations. Hence, it is emphasized that the law should look behind the entity to discover the real state of affairs when it is necessary. This is clearly in line with the principle of lifting of the corporate veil. Under this theory, rights are not inherent attributes of the human will and that an individual is not a subject of right by reason that he possesses a will. On the contrary, the will is at the service of law and it is the interest of man which the law protects.

The symbolist theory is often acknowledged for its availability to justify corporate personality from non-legal facts but it has been repeatedly rejected by the courts in common law jurisdictions because it denies the law by deducing that the only legal relation which is fixed and certain can be discovered by removing the 'brackets' of the corporation and analyzing the relations of the human beings involved.

4. Concession theory

The concession theory is basically linked with the philosophy of the sovereign national state. It is said to be essentially a product of the rise of the national state at a time when there were rivals between religious congregations and organizations of feudal origin for the claim of national state to complete sovereignty. Under the concession theory, the state is considered to be at the same level as the human being and as such, it can confer on or withdraw legal personality from other groups and associations within its jurisdictions as an attribute of its sovereignty. Hence, a juristic person is merely a concession or creation of the state.

Concession theory is often regarded as the offspring of the fiction theory as it has similar claim that the corporations within the state have no legal personality except as it is conceded by the state. Exponents of the fiction theory, for example, Savigny, Dicey and Salmond are found to support this theory. Nonetheless, it is that while the fiction theory is ultimately a philosophical theory that a corporation is merely a name and a thing of the

intellect, the concession theory is indifferent as regards the question of the reality of a corporation in that it focuses on the sources of which the legal power is derived. Dicey took the view that sovereignty is merely a legal conception which indicates the law-making power unrestricted by any legal limits.

5. Purpose theory

This theory is also known as the theory of Zweck Vermogen. Similar to the fiction and concession theories, it declares that only human beings can be a person and have rights. Entities other than human beings are regarded as an artificial persons and merely function as a legal device for protecting or giving effect to some real purpose. As corporations are not human, they can merely be regarded as juristic or artificial person.

Under this theory, a juristic person is no person at all but merely as a "subject less" property destined for a particular purpose and that there is ownership but no owner. The juristic person is not constructed round a group of person but based on the object and purpose. The property of the juristic person does not belong to anybody but it may be dedicated and legally bound by certain objects. This theory rationalized the existence of many charitable corporations or organizations, such as trade unions, which have been recognized as legal persons for certain purposes and have continuing fund. It is also closely linked with the legal system which regards the institution of public law and the endowment of private law as legal personalities.

Conclusion

From the discussion on jurisprudence theories of corporate personality, it is observed that main arguments lie between the fiction and realist theories. The fiction theory claimed that the entity of corporation as a legal person is merely fictitious and only exist with the intendment of the law. On the other hand, from the realist point of view, the entity of the corporation as a legal person is not artificial or fictitious but real and natural. The realist theory also contended that the law merely has the power to recognize a legal entity or refuse to recognize it but the law has no power to create an entity.

Referring to the English company case law, it can be seen that in most cases, the court adopted the fiction theory. *Salomon v. Salomon Co. Ltd.* is the most obvious example. It is also observed that fiction theory provided the most acceptable reasoning in justifying the circumstances whereby court lifted the corporate veil of corporation. If the entity of the corporation is real, then the court would not have the right to decide the circumstances where there is separate legal entity of the corporation should be set aside. No

human being has the right to decide circumstances whereby the entity of another human being should be set aside. Only law has such privilege.

Nonetheless, the realist contention that the corporation obtains its entity as a legal person not because the law granted it to them but because it is generated through its day to day transaction which are later accepted and recognized by law also seem acceptable.